the culmination of this flawed policy that deprived Indians of good quality products and becoming rich by export-led growth.

An Overvalued Rupee is Not a Strong Currency

The paper rupee, like most other currencies globally, began its journey as being fully convertible in silver and gold. The government initially kept the amount equal to the nominal value of paper currency in gold, silver, gold coin and silver coin in reserves to credibly carry out its assurance of being ready to give a silver coin in exchange of a paper rupee.

This process created the notion that paper currency was as valuable and strong as gold or silver currency. However, governments started diluting the gold and silver reserves that backed the issuance of the paper rupee, underwritten by the belief that no one, or at worst only a few, would ever ask for replacement of a paper rupee with a gold or silver rupee. Gradually, a disconnect developed between the gold or silver contained in a one rupee coin and the price of gold or silver in terms of paper rupee notes.

The relative value of the rupee as a currency with other currencies of the world was fairly easy to discern when all currencies were on the gold or silver standard or convertible in gold or silver as long the world had a fixed ratio of 1:15 between gold and silver prices. When the world moved to the Bretton Woods system after World War II, the US dollar became the reference currency. As a fixed ratio of conversion was agreed upon between the US dollar and gold, it became possible for every country to declare its relative value to the US dollar by undertaking to make its paper currency convertible into gold at a fixed ratio.

All this determination of relative value with reference to underlying gold convertibility made policymakers and the public believe that one’s currency becomes weak when its nominal value goes down with reference to another currency. If a dollar was fetched by Rs 4 on a day in 1966 and if